

Foreign Exchange Rate: Meaning

- The rate at which one unit of foreign currency can be exchanged for a number of units in domestic currency.
- Price paid in domestic currency to get one unit of foreign currency.

Types of Exchange Rate Systems

- Fixed Exchange Rate System
- Flexible (or) Floating Exchange Rate System
- Managed Floating Rate System

Fixed Exchange Rate System

Gold Standard System (Pre-1920s)

- Gold was the common unit of exchange.
- Each country defined its currency's value in terms of gold.
- Exchange rate between two currencies was fixed based on their gold value.
- Also known as **mint par value of exchange** or **mint parity**.
- *Example:* 1 UK £ = 4 gm gold, 1 US = 2gm gold implies $1UK\text{£} = 2US$

Bretton Woods System (Post-WWII)

- US \$ was the common unit of exchange.
- Other currencies were pegged to the US Dollar.
- Also called **Adjustable Peg System**.

Merits of Fixed Exchange Rate

- Stability in exchange rate.
- Promotes international trade and investment.
- Prevents speculative activities.

Demerits of Fixed Exchange Rate

- No free market.
- Requires huge gold reserves (Gold Standard).
- Difficulty in fixing the exchange rate.
- Problem of undervaluation and overvaluation.

Flexible (or) Floating Exchange Rate System

- Determined by demand and supply of different currencies in the foreign exchange market.
- **Equilibrium Rate:** Where demand for foreign currency equals supply of foreign currency.
- Changes according to market forces.

Merits of Flexible Exchange Rate

- Equilibrium level is determined by market forces.
- No need for huge gold reserves.
- Free market, no unwanted government control.
- No problem of undervaluation & overvaluation.

Demerits of Flexible Exchange Rate

- Instability in the exchange rate.
- Promotes speculative activities.
- Can create inflationary situations.
- Risk for foreign trade and foreign investment.

Managed Floating Rate System

- Hybrid system: Determined by market forces, but central bank (e.g., RBI) intervenes to influence the rate within desired limits.
- Known as '**Dirty Floating**'.
- Intervention typically involves selling foreign exchange to increase supply when domestic currency depreciates heavily.

Demand for Foreign Exchange

Sources of Demand

- To purchase goods and services from other countries (imports).
- To purchase assets (land, shares, bonds) in other countries.
- Payment of international loans.
- Gifts and grants sent to the rest of the world.
- Undertaking foreign tours.

Relationship with Exchange Rate

- **Inverse relationship:** Increase in foreign exchange rate $\implies$ decrease in demand for foreign exchange, and vice-versa.

Supply of Foreign Exchange

Sources of Supply

- Export of goods and services.
- Foreign Direct Investment (FDI).
- Gifts/donations/remittances received from foreign countries.
- Foreign tourists visiting the home country.

Relationship with Exchange Rate

- **Direct relationship:** Increase in foreign exchange rate $\implies$ increase in supply of foreign exchange, and vice-versa.

Equilibrium Rate of Exchange

- The rate at which demand for foreign exchange equals supply of foreign exchange.
- Graphically, it's the intersection of the demand (DD) and supply (SS) curves.

Depreciation of Domestic Currency (Appreciation of Foreign Currency)

- Decrease in the value of domestic currency in terms of foreign currency.

- Domestic currency becomes less valuable.
- *Example:* 1 = ₹70 (old) $\rightarrow$ 1 = ₹80 (new). Now more rupees are needed to buy one dollar.

Causes of Depreciation

- **Increase in demand for foreign currency:** Shifts demand curve right, raising the exchange rate.
- **Decrease in supply of foreign currency:** Shifts supply curve left, raising the exchange rate.

Effects on Trade

- **Exports:** Become cheaper for foreigners $\implies$ increase in exports.
- **Imports:** Become more expensive for domestic buyers $\implies$ decrease in imports.

Appreciation of Domestic Currency (Depreciation of Foreign Currency)

- Increase in the value of domestic currency in terms of foreign currency.
- Domestic currency becomes more valuable.
- *Example:* 1 = ₹80 (old) $\rightarrow$ 1 = ₹70 (new). Now fewer rupees are needed to buy one dollar.

Causes of Appreciation

- **Increase in supply of foreign currency:** Shifts supply curve right, lowering the exchange rate.
- **Decrease in demand for foreign currency:** Shifts demand curve left, lowering the exchange rate.

Effects on Trade

- **Exports:** Become more expensive for foreigners $\implies$ decrease in exports.
- **Imports:** Become cheaper for domestic buyers $\implies$ increase in imports.

Devaluation vs. Depreciation

Feature	Devaluation	Depreciation
Meaning	Fall in price of domestic currency under fixed exchange rate system.	Fall in price of domestic currency under flexible exchange rate system.
Control	Under the control of Government.	Under the control of market forces of demand and supply.
Exchange Rate System	Occurs in fixed exchange rate system.	Occurs in flexible exchange rate system.

Foreign Exchange Market

- A market where foreign currencies are bought and sold.

Functions

- **International transfer:** Facilitates transfer of foreign currency between countries.
- **Credit for foreign trade:** Provides credit facilities for international trade.
- **Hedging foreign exchange risk:** Allows covering exchange rate risk through forward transactions (agreeing on a future